

EC107: Microeconomics

In-class Exercises 1 — Foundations & the Gains from Trade

Covers Days 1–2. For each **concept check**: vote individually, discuss with a neighbour, then vote again.
Short exercises are timed (5 minutes each).

A. Concept checks

- C1.** You have a free ticket to a concert tonight (it cannot be resold). Your only alternative is a film that costs £15 and that you would value at £20. What is your *opportunity cost* of attending the concert?
(a) £0 (b) £5 (c) £15 (d) £20
- C2.** A transatlantic flight costs £50,000 to operate, carries an average cost of £400 per passenger, and departs with empty seats. A standby passenger offers £150. To maximise profit, the airline should:
(a) refuse — £150 is below the £400 average cost
(b) accept — £150 exceeds the *marginal* cost of one more passenger
- C3.** Country A uses fewer resources than Country B to produce *both* wheat and cars. Which statement is correct?
(a) A should make both goods; trade cannot help either country
(b) Trade can still benefit both if their opportunity costs differ
(c) B has nothing to export
(d) A has a comparative advantage in both goods
- C4.** Which of the following is a *normative* statement?
(a) A minimum wage raises unemployment among low-skilled workers
(b) Rent control reduces the quantity of housing available
(c) The government *should* raise the minimum wage to fight poverty
(d) A petrol tax reduces the quantity of petrol demanded

B. Short exercises

- N1. (Gains from trade)** In a day, Lena can make 12 loaves of bread *or* 6 cakes; Theo can make 8 loaves *or* 8 cakes.
(i) State each person's opportunity cost of one cake (in loaves).
(ii) Who has the comparative advantage in cakes?
(iii) Give one "loaves-per-cake" price at which both would willingly trade, and explain why.
- N2. (PPF & opportunity cost)** An economy's (straight-line) production possibilities frontier runs between (guns = 100, butter = 0) and (guns = 0, butter = 200).
(i) What is the opportunity cost of one gun, measured in butter?
(ii) Is the point (guns = 40, butter = 100) efficient, inefficient, or infeasible?
(iii) Is (guns = 60, butter = 100) feasible?

C. Discussion

- D1.** A colonial government, wanting fewer cobras, paid a bounty for every dead cobra. Enterprising residents began *breeding* cobras to collect the bounty. When officials scrapped the scheme,

breeders released their now-worthless snakes — and the cobra population *rose*. Which of the Ten Principles does this illustrate, and what general lesson does it carry for designing policy?